

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 23-02

BED BATH & BEYOND INC. v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE) LIMITED

**COMPLAINANT’S MOTION FOR PERMISSION TO FILE PROPOSED
VERIFIED SECOND AMENDED COMPLAINT AGAINST RESPONDENTS**

Complainant 20230930-DK-Butterfly-1, Inc., formerly known as Bed Bath & Beyond Inc. (“Complainant”), by and through its undersigned attorneys, hereby moves pursuant to Rule 66 of the Federal Maritime Commission’s (the “Commission”) Rules of Practice and Procedure (the “Rules”), 46 C.F.R. Section 502.66, for permission from the Presiding Officer in this case to file its proposed Verified Second Amended Complaint (the “2AC”), attached hereto as Exhibit A,¹ against Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (together, “Respondents”).

LEGAL STANDARD

Rule 66(a) of the Rules, 46 C.F.R. Section 502.66(a), provides:

Amendments or supplements to any pleading (complaint, Order of Investigation and Hearing, counterclaim, crossclaim, third-party complaint, and answers thereto) will be permitted or rejected, either in the discretion of the Commission or presiding officer. No amendment will be allowed that would broaden the issues, without opportunity to reply to such amended pleading and to prepare for the broadened issues. The presiding officer may direct a party to state its case more fully and in more detail by way of amendment.

¹ A redline comparison of the 2AC against the Verified First Amended Complaint (“1AC”) is attached hereto as Exhibit B.

The Rules do not specify criteria for permitting or rejecting proposed amended pleadings, but Rule 12, 46 C.F.R. Section 502.12, provides that “[i]n proceedings under this part, for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice.” Rule 15(a)(2) of the Federal Rules of Civil Procedure provides that the court—here, the Presiding Officer—“should freely give leave [to amend a pleading] when justice so requires.”

PROCEDURAL POSTURE

Complainant filed its Verified Complaint in this case with the Secretary of the Commission on April 21, 2023. The Secretary of the Commission served a Notice of Filing of Complaint and Assignment on April 27, 2023. Respondents filed their Verified Answer on May 22, 2023.

Complainant filed its Motion for Permission to File the Proposed Verified First Amended Complaint (the “1AC Motion”) in this case with the Secretary of the Commission on July 8, 2024. The Secretary of the Commission served an Order issued by the presiding Administrative Law Judge in this action granting Complainant’s 1AC Motion on August 23, 2024 (the “1AC Motion Order”). Pursuant to the 1AC Motion Order, Complainant’s 1AC was filed that same day. Respondents filed their Verified Answer to the 1AC on September 6, 2024.

Pursuant to the 4th Revised Scheduling Order (the “Scheduling Order”), which was included in the 1AC Motion Order, discovery in this action closed on November 10, 2024. Pursuant to the Scheduling Order, Complainant’s Opening Brief is due December 10, 2024.

Currently pending before the presiding Administrative Law Judge in this action is Respondents’ Motion to Strike the Verification of David Kastin and Dismiss the Complaint, dated November 12, 2024 (“Motion to Strike”). Counsel for Complaint subsequently corresponded with counsel for Respondents wherein Respondents confirmed their understanding that the Motion to

Strike constitutes a dispositive motion as that term is defined in 46 CFR § 502.69(g). Accordingly, pursuant to 46 CFR § 502.70(b), Complainant intends to file a response to the Motion to Strike by November 27, 2024.

CONFERENCE OF COUNSEL

On November 15, 2024, the undersigned counsel sent Respondents' counsel an unverified draft of the proposed 2AC, in connection with an inquiry as to whether Respondents intended to oppose the instant motion. *See* Declaration of J. Lee Hill (the "Hill Declaration") ¶ 4. On November 15, 2024, Respondents' counsel replied via email that Respondents oppose the instant motion. *See id.* ¶ 5.

ARGUMENT

The proposed amendment is ministerial in nature and serves only to conform the existing allegations concerning damages calculations to the evidence already produced in discovery. Complainant's proposed 2AC does not add any additional respondents to this proceeding and re-alleges violations of the same sections of the Shipping Act invoked by the 1AC. The only amendments proposed in the 2AC are updates to Complainant's alleged damages, which amendments are based on information produced in the course of fact and expert discovery in this action. Due to the limited nature of the amended allegations proposed in the 2AC, which do not broaden the issues in the case, Respondents will suffer no prejudice by an order granting the instant motion. Moreover, Complainant has acted diligently by submitting the instant motion within a week of the close of discovery. Accordingly, this motion is timely under 46 U.S. Code Section 41301(a).

Proposed Amendments Updating Complainant's Alleged Damages: The proposed 1AC's amendments to Complainant's alleged damages are as follows:²

Damages Category:	1AC:	2AC:
PSS, premium pricing, and other charges for shipments carried by OOCL (2020 Service Contract)	\$7,109,296.00	\$7,109,296.00
PSS, premium pricing, and other charges for shipments carried by OOCL (2021 Service Contract)	\$6,623,453.00	\$6,623,453.00
Demurrage Charges	\$1,505,373.02	\$1,784,164.88
Detention Charges	\$4,864,425.00	\$6,036,612.95
Shortfall Overpayments (2020 Service Contract)	\$2,193,438.07	\$3,146,072.00
Shortfall Overpayments (2021 Service Contract)	\$9,386,377.12	\$19,563,799.79
Total:	\$31,682,362.21	\$44,263,398.62

With respect to the allegations of damages related to PSS and premium charges, such allegations have not changed.

With respect to the revised allegations of damages related to detention and demurrage charges, such revisions are the result of Complainant collecting data that it produced during discovery in this action which allowed Complainant to identify additional wrongful charges.

With respect to the revised allegations of damages related to shortfall overpayments, Complainant has produced during discovery all of the data and calculations underlying such revisions. Moreover, such revisions are based on the damages methodology recently approved by the F.M.C. in *MCS Industries*, which calculated such damages by assessing actual expenditures incurred by Complainant to move containers on alternate carriers on lanes covered by Complainant's Service Contracts with Respondents, in an amount necessary to make up for

² Complainant's allegations as to lost profits in the proposed 2AC remain the same as those in the 1AC and are thus omitted from the following table.

Respondents' total shortfall. *See MCS Industries, Inc. v. MSC Mediterranean Shipping Company S.A.*, Docket No. 21-05 (Order Affirming Initial Decision on Remand), slip op. at 25-28, July 16, 2024; *see also OJ Commerce, LLC v. Hamburg Sud*, Docket No. 21-11 (Order Affirming Initial Decision), slip op. at 37-42, August 27, 2024 (approving damages calculation on basis of detailed spreadsheet submitted by Complainant reflecting actual shipments). Notably, the order affirming the initial decision on remand in *MCS Industries* was entered on July 16, 2024, and the order affirming the initial decision in *OJ Commerce* was entered August 27, 2024, both after Complainant's 1AC had already been submitted for approval.

There Is Ample Basis to Permit Complainant to File the Proposed FAC: The amended damages allegations in the proposed 2AC were not yet available to Complainant at the time it filed its 1AC because they principally stem from information adduced from discovery, including deposition testimony, and conform to the methodology approved in Final Decisions issued by the F.M.C. after Complainant filed its proposed 1AC. The underlying facts supporting these damages calculations are and have been well known to Respondents, as they are based on data that was produced to Respondents, and has been the subject of expert discovery, prior to the filing of the instant motion. As a result, Complainant's proposed 2AC will not prejudice Respondents.

Accordingly, the proposed 2AC does not broaden the issues in the case and will not affect Respondents' defenses or case preparation. Instead, the proposed 2AC merely updates the damages calculations to conform to the evidence and recent FMC decisions, to avoid any possible complaint of lack of notice on the part of Respondents, and to clarify that Complainant seeks reparations in an amount higher than the amount pleaded in the 1AC. It should also be noted that Respondents have already pursued defenses relevant to all claims included in the 1AC, and the modification of

Complainant's alleged damages therefore will not enlarge or otherwise modify the scope of issues which were subject to discovery in this action or create any significant additional burden.

There is no dilatory motive underlying this motion. To the contrary, Complainant intends to proceed in this action according to the current deadlines set in the Scheduling Order. Moreover, permitting Complainant to proceed in this case on the basis of the proposed 2AC would be *more* efficient and cost-effective than operating under the 1AC, which contains outdated allegations as to Complainant's alleged damages, and which could lead to confusion or unnecessary argumentation concerning the quantification of damages. Proceeding on the basis of the proposed 2AC would therefore allow the issue of damages in this action to be addressed in a streamlined fashion in the parties' upcoming post-discovery briefing in this action. As discovery has produced all the information that both Complainant and Respondents need to fully litigate the claims at issue in this action, the proposed 2AC should not, in and of itself, cause delay or inconvenience.

Declaration of David M. Kastin: Filed contemporaneously herewith is the Declaration of David M. Kastin, dated November 15, 2024 (the "Kastin Declaration"). Mr. Kastin was the Chief Legal Officer of Bed Bath & Beyond Inc. prior to its dissolution as part of its entry into Chapter 7 bankruptcy in September 2023. *See* Kastin Decl. ¶¶ 5-6. Following Bed Bath & Beyond Inc.'s dissolution as part of its entry into Chapter 7 bankruptcy in September 2023, Mr. Kastin became an independent consultant to Complainant's bankruptcy plan administrator. *Id.* ¶ 6. In such capacity, Mr. Kastin's duties are to provide legal advice to Complainant's bankruptcy plan administrator in connection with the winddown of Complainant's estate. *Id.* In such capacity, Mr. Kastin acted as the authorized signatory of Complainant in signing and submitting the verifications to the 1AC and 2AC. *Id.* ¶¶ 9, 11. The Kastin Declaration *inter alia* describes the review Mr. Kastin conducted in connection with verifying the 1AC and 2AC. *Id.* ¶¶ 9-12.

Complainant feels compelled to file the Kastin Declaration along with Mr. Kastin's verification of the 2AC in light of Respondents' Motion to Strike. Although granting leave to file the 2AC would effectively moot the Motion to Strike, Complainant expects to oppose Respondents' Motion to Strike if leave to amend is not granted before November 27, 2024. As will be more fully discussed in Complainant's opposition to the Motion to Strike, that motion is baseless and procedurally improper, and was filed prematurely despite Complainant's efforts to work constructively to address any *bona fide* concerns Respondents might have had concerning Mr. Kastin's verification of the 1AC.

As with Mr. Kastin's verification of the 1AC, which, like most verifications in large commercial cases, is based in part upon company data, communications, and business records that supplement his direct personal knowledge, his verification of the 2AC is entirely valid and complies with all relevant requirements. *See Yarosh v. Salkind*, No. CIV.A. 04-1816(JWB), 2005 WL 1459719, at *3-4 (D.N.J. June 21, 2005) ("Furthermore, to verify the complaint under Rule 23.1, 'the plaintiff need not have direct knowledge of the facts on which the complaint is based.'"); *K Investments, Inc. v. B-Gas Ltd.*, No. 21-40642, 2022 WL 964210, at *3 (5th Cir. Mar. 30, 2022) ("In signing a verified complaint, 'the signator must satisfy himself that the averments in the complaint are true, based upon either his own knowledge *or upon information and belief*.'") (emphasis added). Accordingly, Complainant submits herewith a declaration by Mr. Kastin establishing the propriety of his verification of both the 1AC and 2AC in order to preempt Respondents from filing yet another baseless motion to strike, this time against the 2AC.³

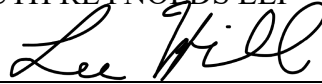
³ Complainant reserves all rights and potential remedies in connection with Respondents' Motion to Strike.

CONCLUSION

For the foregoing reasons, Complainant respectfully moves the Presiding Officer in this case for an order permitting Complainant to file and proceed in this case on the basis of the proposed 2AC filed herewith.

Dated: November 15, 2024

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Certificate of Service

I hereby certify that I have this day served the foregoing document upon Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited by emailing copies of the document to their counsel of record listed below:

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Dated: November 15, 2024



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